

Recap: How transactions work

If you didn't pay attention the last time then you've gotten another chance at understanding the Bitcoin transaction.

Let's say you want to purchase some product with Bitcoins. When you surf the product page you will be given a QR code to scan. The reason a QR code is given is that the addresses to which you have to send are rather long and have jumbled letters so the possibility of entering the wrong address is very much there. This is why the entire process has been simplified with the use of QR codes. Once you scan the QR code into your wallet



The transaction is one way only

software, the QR code is analysed to give you the address and cost of the item along with the label column where you can see the particulars of the transaction. If you're into shady transactions then all you will see is the address and the amount, labels are optional.

Once you hit "send" in your client, the details are patched to the nearest node of the Bitcoin network, this is then multicast till the

address to which you want to send the money is located. This may take a ridiculous amount of time depending on where the receiving address is and what kind of network it is situated in. High-privacy networks like Tor take a much longer time for transactions to reach their final destination.

Moreover, there is often a transaction fee which the sender has to pay for which is minimal. All transactions can be easily tracked in the Bitcoin ecosystem. Each Bitcoin that has ever been generated can be tracked right down to the current owner. Which is why scamming the system is very difficult but scamming people is quite easy. The decimal trick is the easiest, Bitcoin transactions take place in numbers that have 8 decimals. So by shifting the decimal point scamsters make quite the buck, so all clients now have